Casinos, hotels and online gaming, New Zealand and Adelaide

The shares are a little cheap, but only if the savings arrive

SkyCity trades at 70 cents, the lower of the two bids its board turned down in May. I put the value at about 76 cents. Most of that value is cost savings and growth that have not happened yet, and the half-year result in February is the first real test.

Call: hold, and do not add at this price. Price NZ$0.70. Value NZ$0.76, in a range of NZ$0.71 to NZ$0.77. Add below NZ$0.64. Trim above NZ$0.76 without a firm bid. Accept a cash bid of about NZ$0.86 or more.

Why hold

The shares are priced a little under where the evidence puts them. The business alone is worth NZ$0.75 on the model. Laying a takeover, an Adelaide sale and a forced share issue over that gives NZ$0.76, which is 8% above the price. A board-run sale process is open, and debt falls to about 1.9 times earnings once the Grand Hotel sale settles.

Why not buy more

The margin is thinner than one miss. If FY28 savings come in $10m short in every case, the value is NZ$0.70 and the gap is gone. First-quarter trading only matched a weak fourth quarter, and the second $40m of the savings plan is unproven and partly revenue. With every cautious view applied the value is NZ$0.64.

Why not sell now

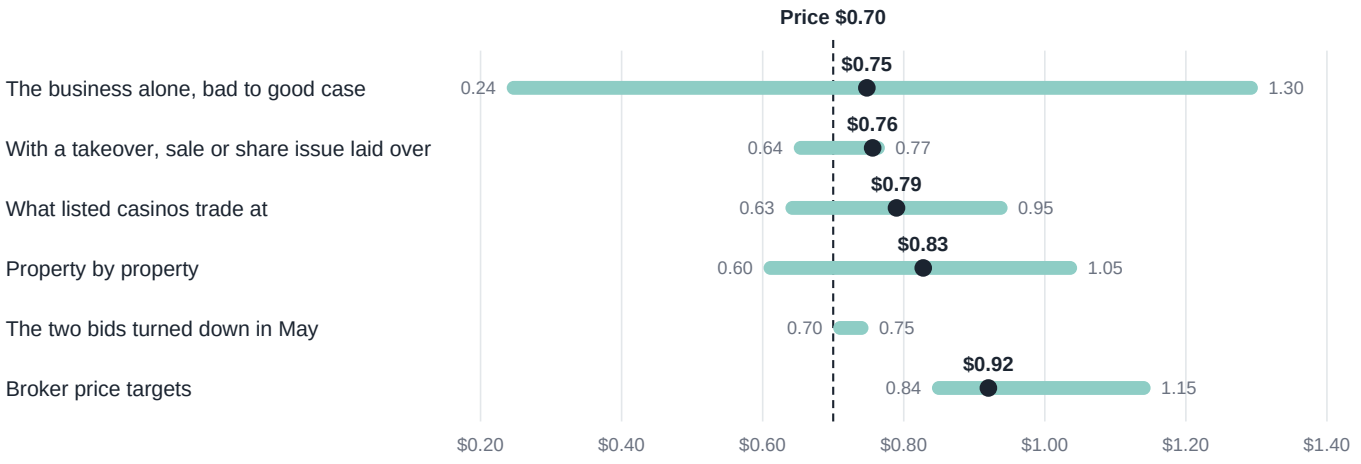
The price equals Oaktree's rejected $0.70 and sits at or below every central figure in the chart below. The half-year result in February 2027 will show whether the savings are real, and proposals from the sale process should follow it. If the shares reach value by August 2028 the return is 16.5% a year, against the 11.7% I would want for the risk.

What would change the view

Better: half-year earnings of $85m or more, the Grand settled, Adelaide sold near NZ$180m, or a firm bid. Worse: half-year earnings under $78m, the Grand consent slipping past December, Allan Gray selling below 10%, or pub pokie spend rising while SkyCity's falls for a second year.

Key numbers	
Share price (9 November)	NZ$0.70
12-month range (closes)	$0.465 to $0.97
Market value	$772m
Net debt, 30 June (with leases)	$590.7m
Net debt to earnings	3.1 times (limit 3.75)
Earnings, FY26 (underlying EBITDA)	$181.6m
Net tangible assets a share	$0.86
Bids turned down in May	$0.70 and $0.75
Dividend	None for FY26; expected back in FY28
Value, the business alone	$0.75
Value with a takeover or sale laid over	$0.76
Value, every cautious view	$0.64
Return I would want	11.7% a year

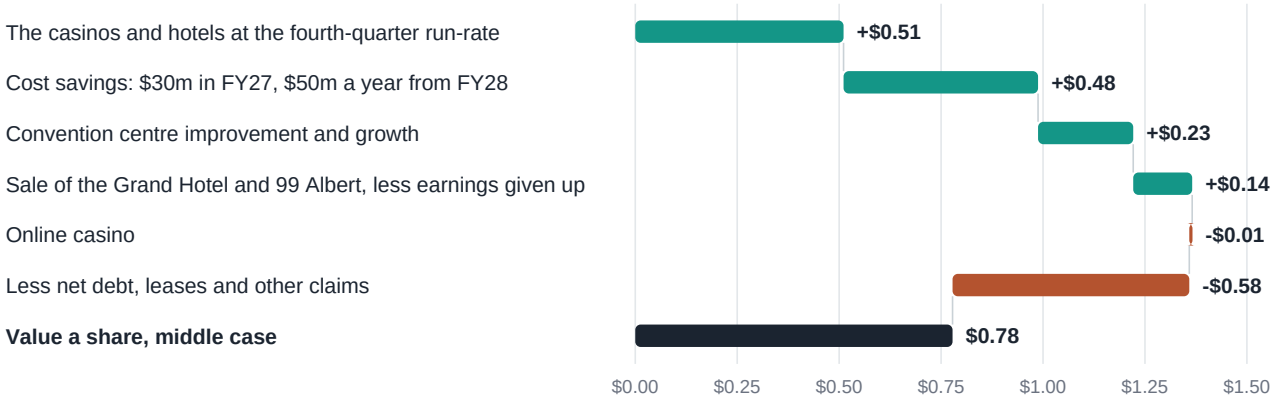
Every central figure sits at or above the price, and the ranges are wide



NZ$ a share. Dots are the central figure. Bars run from the bear case to the bull case (first row), from every cautious view to the most hopeful single view (second row), one turn of earnings multiple either side (third), low to high multiples for each property (fourth) and the lowest to highest of five brokers (last).

What the value rests on

Most of the value is savings and growth that have not happened yet



NZ$ a share, middle (base) case of the model. With no savings and no growth the same sums give about 7 cents a share. The weighted value across the bear, base and bull cases is NZ$0.75. About 250 role cuts cover roughly the first $30m of savings; the rest depends on supplier contracts, technology and new revenue.

What could happen

By August 2028 most of the weight sits on outcomes above today's price

Outcome	Chance	Worth a share
Takeover of the whole company	39%	$0.88
Adelaide sold, no takeover of the rest	20%	$1.02
No deal, and the plan works	29%	$1.15
No deal, and the plan fails	8%	$0.38
Forced share issue	4%	$0.29

Chances are my judgement and add to 100%. Worth a share includes any dividends or takeover cash received. Weighted NZ$0.92 in August 2028, which is NZ$0.76 today at 11.7% a year. A takeover is close to neutral: it rescues the bad case and caps the good one.

Dates to watch

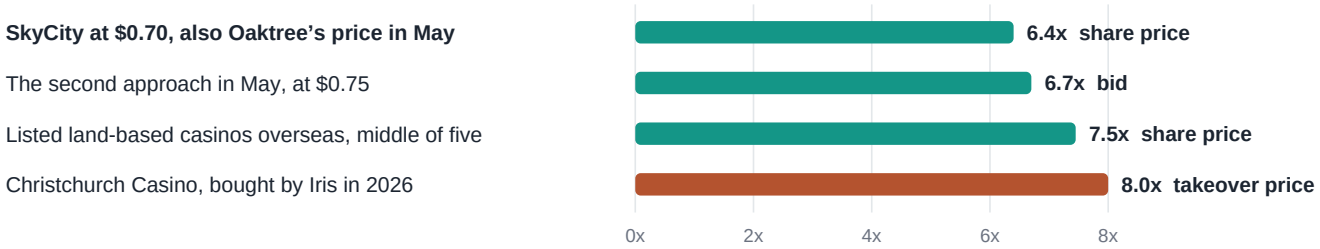
Date	Event	Good looks like	Bad looks like
27 Nov	Official election result	The current coalition returns; gambling law stays as it is	A government relying on Labour or the Greens tightens online gambling advertising
Mid-Dec	Grand Hotel sale settles	Consent arrives and $221m is paid; debt heads to about 1.9 times earnings	Consent slips past 31 December
Feb 2027	Half-year result	Underlying earnings of $85m or more; savings on track	Under $78m, the model's critical trigger
Feb to Jun 2027	Proposals from the sale process	A firm bid near NZ$0.86, or Adelaide sold near NZ$180m	No proposal, or a bidder taking Adelaide alone
18 Sep 2027	Hamilton casino licence expires	Renewed before the date	A hearing set late, or contested

The case for and against

For	Against
The price equals the lower rejected bid and is 7% under the model's value of the business alone.	That value needs $50m of savings by FY28. $10m short in every case and the gap is gone.
Debt is nearly fixed: about 1.9 times earnings after the Grand sale, against a limit of 3.75.	The Grand sale still needs Overseas Investment Office consent.
A board-run sale process with due diligence. The bidder named in the press has cleared New Zealand regulators this year and paid 8 times earnings for Christchurch Casino.	No improved bid since May. Funding and Commerce Commission questions are open, and the two largest holders can block a scheme in practice.
The directors value Auckland alone at $1.6bn or more, and Jarden's target is $1.15.	Those rest on forecasts that have missed two years running. The largest holder, Allan Gray, has been selling at about this price.

How it compares

At today's price SkyCity is valued below its listed peers and below the last casino sale here



Enterprise value as a multiple of a year's earnings (EBITDA). SkyCity figures use the model's FY27 earnings and debt after the asset sales. Peers are at 6 November closes on the last 12 months' earnings. The Christchurch figure is from the independent expert's report in the Reef Casino takeover papers and is measured before lease accounting; like for like it puts SkyCity at NZ$0.855.

The numbers

Year to 30 June	FY25	FY26	FY27 forecast	FY28 forecast
Revenue ($m)	825.2	822.7	815	845
Underlying earnings, EBITDA ($m)	233.7	181.6	174.8	210.1
Savings kept, inside that figure ($m)	none	none	30	50
Online casino earnings, inside that figure ($m)	-1.8	-6.4	-12.0	0.5
Capital spending ($m)	-165.1	-95.4	-90	-85
One-off costs: Adelaide programme, and restructuring from FY27 ($m)	not split	-23.5	-37.0	-3.0
Net debt with leases at year end ($m)	756.8	590.7	about 325	not forecast

Forecasts are the middle case in the v4 workbook, after the asset sales. EBITDA is earnings before interest, tax, depreciation and amortisation.

Funding	
Net debt, 30 June 2026	$590.7m including $154m of leases, down from $756.8m in the year
Bank lines	$277.5m with ANZ and Westpac to September 2028 and 2029, undrawn
Bonds and notes	$175m bond at 3.02% due 21 May 2027; US private placement notes of $375.9m due 2030 and 2031
Lending test and rating	Net debt 3.1 times earnings (limit 3.75); S&P rates it BBB- with a negative outlook
Largest holders	ACC 11.6%, Allan Gray 11.5%, AustralianSuper 4.85%, Spheria 4.7%, NZ Super Fund 4.2%

What changed since the last note

First note in this format. Against the 28 October model at NZ$0.70, the business alone is now worth NZ$0.75. Lower bond yields added 3.1 cents, tax losses that had been left out added 2.0, a fix to how the class action is counted added 1.4, and a smaller online market took 2.1 off. The takeover view is now one table and the price levels come from it. The call stays at hold.

Terms used

Term	What it means here
Value, the business alone	Today's worth of the cash the business is forecast to make, after debt, weighted across a bad, middle and good case (25%, 55%, 20%). No takeover in it.
Value with a takeover, sale or share issue laid over	The same three cases, with the chance of a takeover, an Adelaide sale or a forced share issue added to each. The central figure in this note.
Every cautious view	Less weight on the good case, the bad case priced at its model value, takeover chances halved, and the market paying a tenth under model value.
Return I would want	The yearly return that pays for the risk of holding the shares, from the model's cost of equity.

Sources

SkyCity FY26 results release, presentation and annual report; annual meeting addresses; NZX releases from 25 August to 5 November 2026; Allan Gray holder notice (30 October); NZ Debt Management bond tender (5 November); Department of Internal Affairs pokie profits (June 2026 quarter); Yahoo Finance closing prices; the independent expert's report in the Reef Casino takeover papers, as recorded in the model; the v4 valuation workbook and the full review, second issue, dated 10 November 2026. Not yet available: the half-year result, the official election result, the Grand Hotel consent. Prepared for personal use from public information, except the size of the online casino market, which is Evergreen's own estimate. Analysis, not financial advice. A position in the shares is held.